



CORPORATE STRATEGY

Session 4: Commercial effectiveness

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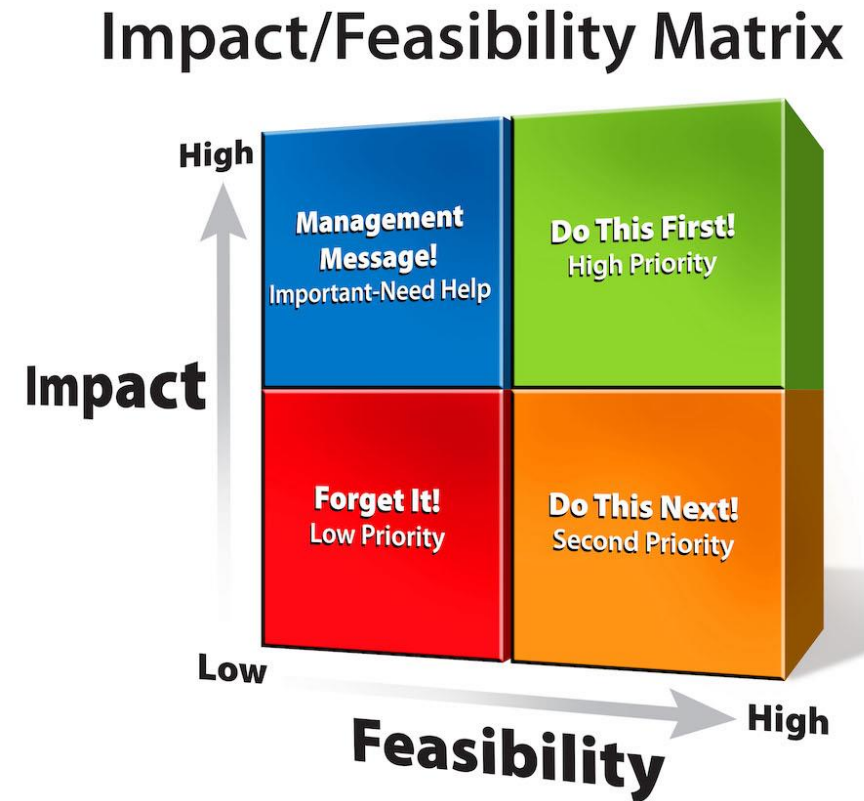
1. RECAP ON SESSION 3 & OBJECTIVES OF THE DAY
2. COMMERCIAL EFFECTIVENESS
3. CASE STUDY & GROUP EXERCISE

MARKET ENTRY | The choice of the business model

Business Model	How it works	Pricing logic	Key strengths	Key risks	Typical examples
Subscription	Customer pays a recurring fee (monthly / yearly)	Value-based pricing, low marginal cost, focus on retention	Predictable revenue, high LTV, data-rich	Churn sensitivity, need continuous value	
Commission (Marketplace)	Platform takes % on each transaction	Take-rate driven, indirect pricing power	Asset-light, scalable, network effects	Dependency on volume, disintermediation risk	
Usage-based (Pay-per-use)	Customer pays per unit consumed	Price linked to usage elasticity	Fair pricing, easy entry	Revenue volatility, forecasting complexity	 ChatGPT API - Token
Freemium	Free basic offer + paid premium features	Price discrimination via features	Fast adoption, low CAC	Low conversion rate, cost of free users	
Advertising	Users free, advertisers pay	Price driven by audience & data	Mass adoption, zero price for users	Cyclical, dependency on traffic	
Direct Sales (Product)	One-time product sale	Cost + margin, competitive pricing	Simple, immediate cash	No recurring revenue, price wars	
Hybrid	Combination of models	Segmented pricing	Diversification of revenue	Complexity, execution risk	

MARKET ENTRY | What are the next steps?

- **Impact:** Revenue potential, strategic value, learning speed
- **Feasibility:** Time, cost, internal capabilities, regulatory complexity



MARKET ENTRY | What are the next steps?

Phase 1 : Test & Learn (0–3 months)

- Pilot in a limited geography or segment
- Validate demand, pricing, and UX
- Measure early KPIs (CAC, conversion, churn)

Owner &
Governance

KPIs

Phase 2 : Scale (3–12 months)

- Expand geography or customer segments
- Strengthen operations and partnerships
- Optimize unit economics

Owner &
Governance

KPIs

Phase 3 : Optimize & Defend (12+ months)

- Improve margins
- Build entry barriers (brand, data, network effects)
- Prepare response to competitors

Owner &
Governance

KPIs

INTRODUCTION | ENTRY MARKET CASE STREAMIT



Context

Streamit, a leading music streaming company based in Spain, has established itself as a market leader in Spain and several European countries.

With a robust user base and a strong market presence, Streamit is now considering expanding its operations into the growing Brazilian market.



Objective

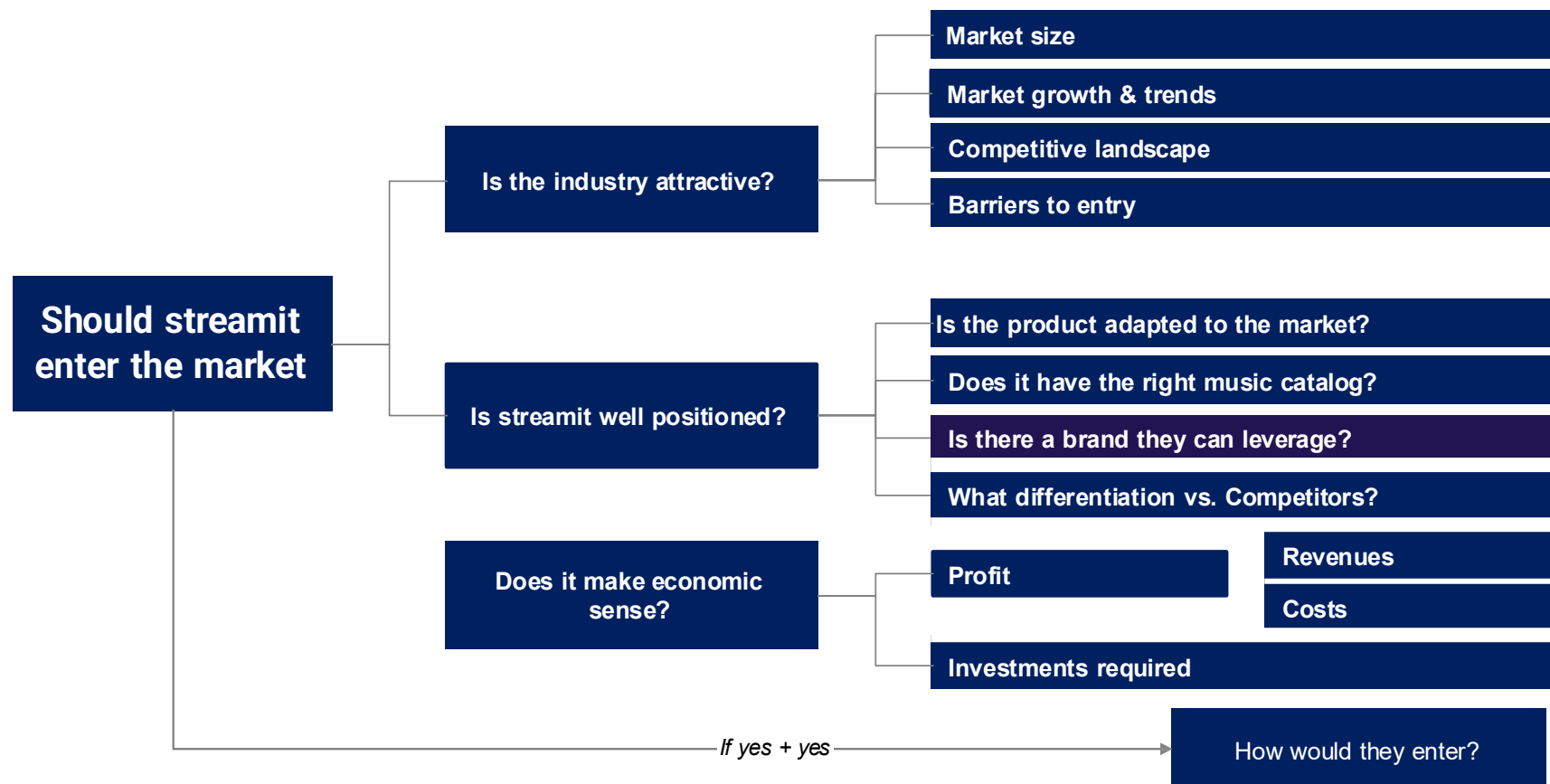
Streamit has hired you to evaluate this opportunity & provide a recommendation on their market entry strategy

- 1. What are the key elements to consider to assess whether Streamit should enter the new market?**
- 2. What are possible market entry strategies for Streamit in Brazil?**
- 3. How did we organize the work?**



ENTRY MARKET | CASE STREAMIT KEY ELEMENTS

1. What are the key elements to consider to assess whether Streamit should enter the new market?



ENTRY MARKET | CASE STREAMIT OPTIONS

2. What are possible market entry strategies for Streamit in Brazil?

	Key considerations	Variants
Direct entry 	▪ Control - Control the strategy, brand & operations ▪ High costs - Requires marketing / brand investments required to build a brand ▪ High risks - Involves higher risk of failure (different market, no brand etc.) 	Local subsidiary Greenfield investment
Acquisition 	▪ Speed - Expand rapidly by buying an existing player ▪ Synergies – Leverage local company's existing base & potentially centralize shared operations ▪ High investment – Requires funding to acquire new company  ▪ Different cultures - Risk of culture clash	Merger
Partnership 	▪ Low investment / costs ▪ Synergies – Leverage partner existing brand, customer base & knowledge of local market	Franchising Joint-venture

ENTRY MARKET | CASE STREAMIT PARTNERSHIPS

Economic model

Telecom bundles

Revenue sharing

Co-marketing
partnerships

Pre-defined **advertising investment** or
campaign

White-labelling

Revenue sharing

Catalog licensing

Fee for selected catalogue

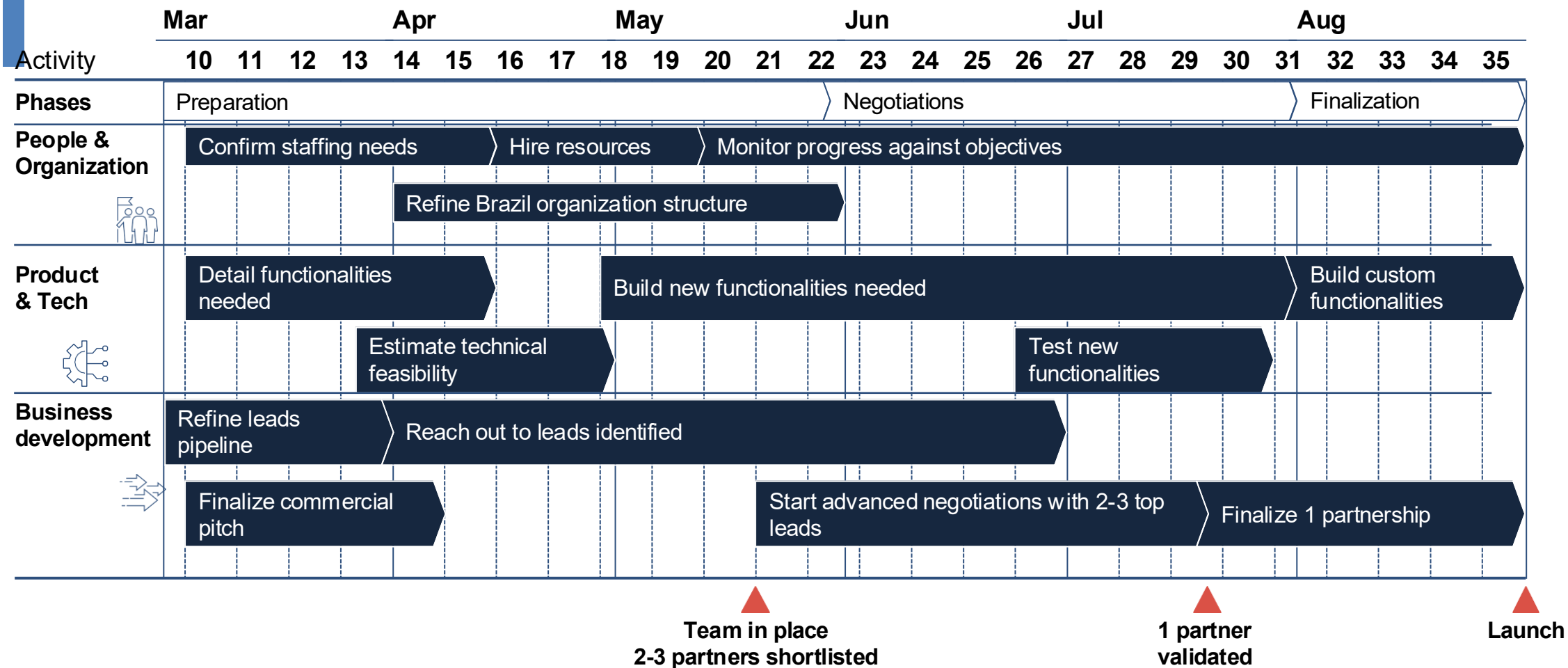
Technology licensing

License fee for technology use (can be
monthly or one-off)



- Leverages partner's brand image
- Builds on stream-it strengths (technology)
- Innovative and untapped model
- More value captured (vs. catalog licensing only)

Deployment roadmap



3. HOW DID WE ORGANIZE THE WORK?

Client counterpart



Value proposition

What?

- Definition of Streamit value proposition
- Definition of potential partnerships models
- Typical deal economics
- Technical components

Head of strategy
Business Development (B2B team)
Tech/product team



Target clients

Who?

- Commercial pipeline target list of 50-60
- Shortlist of [10-15] companies for potential successful partnerships to deepen analyses (e.g., Survey)
- Commercial teaser (6-pagers) structure to guide negotiations

Business Development (B2B team)



Value-at-stake

How much?

- Model with key financial/operational metrics to be tracked incl:
- Value at stake (revenues only)
 - Revenues year-by-year build-up
 - P&L and unit economics
 - Investments required

Business Development (B2B team)



Roadmap

How & when?

- Detailed roadmap (in ppt/excel) for the Phase 2 6-18 months effort which includes
- OKRs against which success will be measured
 - Resources needed and commitment by Deezer

Head of strategy
Business Development (B2B team)
Tech/product team

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Why does Commercial Effectiveness exist?

Purpose

- Convert market demand into **revenue and profit**
- Maximize **Customer Lifetime Value (CLV)**, not short-term sales
- Create **predictable and scalable growth**

Core objectives

- Customer acquisition
- Customer retention
- Revenue expansion
- CAC optimization



Commercial effectiveness is not about “selling more”, but about **selling better, to the right customers, at the right cost.**

Customer First: ICP & Customer Needs (1/3)

Why start with the customer?

- A company does not “sell a product”, it **solves a customer problem**
- The customer defines:
 - The value proposition
 - The sales motion
 - The channels
 - The economics

Ideal Customer Profile (ICP)

The ICP is the type of customer for which the company delivers the **highest value**, with the **lowest acquisition and servicing cost**.

- Firmographics (industry, size, geography)
- Use case / problem intensity
- Willingness to pay
- Buying process complexity

ICP => B2B Target

Persona => B2C Target or a key person in a BtoB Organization

Customer First: Persona & Customer Needs (2/3)

Context

Bonsoirs is a French **DTC (direct-to-consumer)** brand selling premium bed linen online.

Its positioning is based on:

- High-quality materials
- Premium prices
- No intermediaries
- Simple, elegant customer experience

Bonsoirs does **not** sell to everyone. Its commercial performance depends on **who it targets first and how.**

Objectives

1. Identify **2–3 distinct Personas** for Bonsoirs
2. Explain **why these ICPs matter commercially**
3. Show how **needs, channels, and messages differ** across personas.

Guiding questions:

- Who is most likely to **feel the problem strongly**?
- What's the price? Who can afford this type of product?
- Who is easiest to **reach in DtoC**?
- Who is likely to **repurchase**?

Customer First: Persona & Customer Needs (3/3)

Persona	Customer Profile	Core Need (JTBD)	Main Buying Drivers	Primary Channels	Commercial Role
Urban Young Professionals <i>(Core)</i>	28-40, urban, medium or high income, renters or first-time owners	"I want hotel-quality bedding at home, easily and at a fair price"	Comfort, design, brand values, reviews	Instagram, influencers, SEO	Acquisition engine, volume growth
Young Families / Home Upgraders <i>(Profitability)</i>	35-50, couples with children, larger homes	"I want durable, comfortable bedding for everyday life"	Durability, value over time, bundles	SEO, email, retargeting	Higher basket size, repeat purchases
Gift Buyers <i>(Opportunistic)</i>	All ages, buying for weddings, birthdays, housewarmings	"I want a premium, safe gift that won't disappoint"	Brand image, simplicity, packaging	SEA, seasonal campaigns	Seasonal revenue, high margin

Commercial & Marketing Levers (1/2)

	Inbound	Outbound
Logic	Customer comes to you	You go to the customer
Trigger	Customer intent	Company initiative
Typical cost	Lower over time	Higher per lead
Scalability	High	Limited by sales capacity
Typical use cases	DTC, SaaS, known needs	B2B, new markets, complex offers

Commercial & Marketing Levers (2/2)

Inbound

Lever	Definition	Typical objective	Example
SEO (Search Engine Optimization)	Optimizing content and website to rank organically on search engines	Capture long-term demand	“best bed linen brand”
GEO / AI Search	Visibility in AI-driven answers (LLMs, assistants, zero-click search)	Capture emerging search behavior	ChatGPT-like answers
Content marketing	Blogs, guides, videos answering customer questions	Educate & build trust	Buying guides
Communities / Social	Organic presence on social platforms	Engagement & brand	Instagram, TikTok

Outbound

Lever	Definition	Typical objective	Example
Cold calling	Phone outreach without prior contact	Create first interaction	B2B services
Cold emailing	Personalized email outreach	Lead qualification	SaaS, B2B
LinkedIn outreach	Direct messages via professional networks	Target decision-makers	B2B
Field sales	In-person commercial meetings	Close complex deals	Industrial sales
Events / fairs	Physical or digital events	Lead generation	Trade shows
SEA (Search Engine Advertising)	Paid ads on search engines (cost per click)	Capture immediate demand	Google Ads, Meta Ads etc

KPIs & OKR

Metric	Definition	Why it matters
Conversion rate	% of prospects moving from one funnel step to the next	Detect friction points in the funnel
Cost per Lead (CPL)	Total marketing spend divided by number of leads generated	Measure efficiency of demand generation
CAC (Customer Acquisition Cost)	Cost to acquire one customer (marketing, sales, ads, tools)	Assess customer-level profitability
CAC by channel	CAC split by acquisition channel (SEO, SEA, outbound, etc.)	Prioritize the most efficient channels
Attribution (basic)	Identification of which channel contributed to the sale	Allocate budgets more effectively
ARPU / ARPA	Average revenue per user / account over a given period	Measure revenue intensity per customer
Churn rate	% of customers lost over a given period	Assess retention and product-market fit

A classic one: ratio LTV/CAC

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Business Case (1/2)

You are advising a **French DNVB selling premium bedding online** (similar positioning to Bonsoirs): Direct-to-consumer ; Single country (France) ; Strong digital acquisition ; One main product category (bed linen sets)

Management wants to understand if **commercial growth is healthy and profitable**.

Data provided (last 12 months)

Commercial & Marketing Data

- Total website visitors: **1,200,000**
- Leads generated (newsletter, account creation): **120,000**
- Total customers acquired: **24,000**

Revenue Data

- Total revenue: **€3,600,000**
- Average order value (AOV): **€150**
- % of repeat customers: **30%**

Cost Data

- Total marketing spend: **€720,000**
 - SEO: €180,000
 - SEA: €360,000
 - Social / Influencers: €180,000
- Sales team cost: **€120,000**

1. Funnel & Conversion

Calculate:

- Visitor → Lead conversion rate
- Lead → Customer conversion rate
- Visitor → Customer conversion rate

=> **What does this say about funnel efficiency?**

2. Acquisition Efficiency

Calculate:

- Cost per Lead (CPL)
- CAC (Customer Acquisition Cost)
- CAC as % of AOV

=> **Is customer acquisition economically sustainable?**

Business Case (2/2)

1. Conversion Rates

- **Visitor → Lead**
 $= 120,000 / 1,200,000 = 10\%$
- **Lead → Customer**
 $= 24,000 / 120,000 = 20\%$
- **Visitor → Customer**
 $= 24,000 / 1,200,000 = 2\%$



Healthy funnel for a DNVB

2. Acquisition KPIs

- **Cost per Lead (CPL)**
 $= €720,000 / 120,000 = €6$
- **CAC**
 $= (\text{Marketing} + \text{Sales}) / \text{Customers}$
 $= (€720,000 + €120,000) / 24,000$
 $= €35$
- **CAC as % of AOV**
 $= 35 / 150 \approx 23\%$



Acceptable for a premium DTC brand